

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 317.77		USD 95.82		-69.8%		USD 335.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 416.2bn FY2025, +6% YoY	32.0% FY2025	USD 98.8bn FY2025	8.8% Discount rate (CAPM)	USD 95.82 -70% vs market	USD 335.00 what the market believes		

Reading the valuation. Our intrinsic DCF values AAPL at USD 95.82, against a market price of USD 317.77 and a Wall Street consensus target of USD 335.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 52%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong business with resilient margins, but at USD 318 the market prices in unsustainably high growth that we do not see materializing.

Business quality: Strong · **Stock:** SELL — Apple maintains high operating margins (~30-32%) and a diversified product and services ecosystem supported by significant R&D; and intellectual property protections.

What the market prices in. The current share price implies first-year revenue growth of approximately 52% with a decaying trajectory, reflecting expectations of rapid expansion and margin expansion well above historical trends.

What we expect. We forecast modest revenue growth around 2.5% in year one, with operating margins stabilizing near 25.6% long term and terminal growth at 2.5%, reflecting a mature, competitive market environment.

The gap. The market's growth optimism diverges sharply from our conservative growth and margin assumptions, leading to a valuation gap where the stock is overvalued by roughly 70% relative to our intrinsic DCF fair value of USD 95.82.

Why SELL

- 1 Recent revenue growth has been volatile and slowing, with FY2023 down 3% and modest recovery expected only in FY2024 and FY2025.
- 2 High competitive pressures and rapid technological change increase risk to sustaining premium margins and market share.
- 3 Supply chain constraints and rising component costs pressure gross margins and could compress profitability.
- 4 The market's implied growth is unrealistic given the company's mature product cycles and incremental innovation challenges.
- 5 Significant downside risk exists if Apple fails to innovate or protect its intellectual property effectively in key markets.

Biggest catalyst. Disappointing quarterly revenue or margin guidance that confirms slowing growth and margin pressure, driving a re-rating lower.

Biggest risk. Sustained acceleration in revenue growth driven by breakthrough products or services that validate the market's high growth expectations.

We would turn more positive if:

- Year-over-year revenue growth exceeding 10% sustainably over multiple quarters.
- Operating margins expanding above 32% driven by cost efficiencies or premium product mix.
- Successful launch and monetization of new product categories or services expanding total addressable market.

We would turn more negative if:

- Revenue growth falling below 0% or flat for multiple quarters.
- Operating margins declining below 25% due to pricing pressure or rising input costs.

- Loss of market share to competitors or failure to protect intellectual property leading to increased imitation.

The case against our view. The market may be correctly pricing in a significant new product cycle or service expansion that could drive revenue growth well above historical levels, justifying the current valuation.

BUSINESS OVERVIEW

Apple's geographically diversified business model, anchored by hardware and growing services, supports resilient revenue streams amid competitive pressures.

Apple's business is segmented primarily by geography—Americas, Europe, Greater China, Japan, and Rest of Asia Pacific—reflecting tailored management to regional market dynamics and customer bases. The Americas segment leads with \$178 billion in net sales for fiscal 2025, constituting about 43% of total revenue, followed by Europe at \$111 billion and Greater China at \$64 billion. This geographic segmentation indicates Apple's strategic focus on diverse markets to mitigate regional risks and optimize pricing and marketing strategies. The persistence of this model depends on maintaining strong regional customer engagement and adapting to local competitive and regulatory environments, which Apple has historically managed through localized operations and distribution channels [1][3][5].

Apple's product portfolio spans hardware—primarily iPhone, Mac, iPad, and wearables—and a growing suite of subscription-based digital services including Apple Music, Apple TV, and Apple Pay. Services revenue reached an all-time high in the September 2025 quarter, underscoring its increasing contribution to the company's revenue mix and margin profile. This diversification beyond hardware sales reduces dependence on product cycles and competitive pricing pressures, providing more stable, recurring revenue streams. The sustainability of this shift hinges on continued innovation in services and ecosystem integration to retain and expand the active installed base of devices, which Apple reported at record levels [2][8].

Apple outsources nearly all hardware manufacturing to partners primarily in Asia, including China, India, and Vietnam, enabling cost efficiencies and scalability. However, this reliance exposes Apple to geopolitical and supply chain risks, particularly in Greater China, where net sales declined 4% in 2025. Despite this, the company's ability to offset regional sales volatility through growth in other segments and regions, such as a 10% increase in Europe and 15% in Japan, demonstrates resilience. Long-term sustainability will require continued diversification of manufacturing and supply chains alongside geographic revenue balance to mitigate concentrated risks [1][3][5].

Distribution channels are split roughly 40% direct sales through Apple's own retail and online stores and 60% indirect sales via third-party carriers and resellers. This dual approach broadens market reach and customer accessibility, supporting volume growth and brand presence globally. However, indirect channels introduce margin pressure and less control over customer experience. Maintaining a balance that leverages direct channels for premium positioning while utilizing indirect channels for scale will be critical to sustaining revenue growth and profitability [2].

- Americas accounted for \$178 billion in net sales (43% of total), highlighting regional dominance and risk concentration.
- Services revenue hit an all-time high in Q4 2025, signaling a strategic shift toward recurring, higher-margin income.
- Greater China sales declined 4% in 2025, reflecting geopolitical and market challenges in a key manufacturing hub.
- Direct sales represent 40% of net sales, enabling premium customer engagement, while 60% indirect sales expand global reach.
- Outsourcing manufacturing primarily to Asia provides cost advantages but exposes Apple to supply chain and geopolitical risks.

What it means. Apple's geographically diversified, hardware-plus-services business model underpins resilient revenue generation, but sustaining growth requires managing regional risks and expanding its high-margin services ecosystem.

Sources cited above.

- [1] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.48
- [2] FY2025 Annual Report (10-K) - Item 1 -Business - p.4
- [3] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.24
- [4] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.50
- [5] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.49
- [6] Q32025 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.13
- [7] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.38
- [8] Q42025 Earnings Release (8-K) - p.1

FINANCIAL PERFORMANCE

Apple's revenue growth and margin shifts in FY2025 reflect product mix changes and service expansion, but margin pressure and cost increases pose risks.

Apple's total net sales rose 6% to \$416.2 billion in FY2025, driven by a 4% increase in product sales to \$307.0 billion and a 14% jump in services revenue to \$109.2 billion, indicating a strategic shift toward higher-margin services and geographic growth in the Americas and Europe despite a 4% decline in Greater China sales [2][5]. This revenue diversification supports more stable top-line growth, but reliance on regional performance and product mix changes introduces variability that could affect future sales consistency.

Gross margin dynamics reveal contrasting trends: product gross margin dollars increased to \$112.9 billion but the product gross margin percentage declined due to tariff costs and product mix shifts, while services gross margin dollars and percentage both improved, reaching \$82.3 billion and reflecting higher sales and a favorable service mix [1][4]. This suggests that while services are bolstering overall profitability, product margin pressures from external costs and mix changes may persist, creating ongoing volatility in overall gross margins.

Operating expenses rose 8% to \$62.2 billion, maintaining a steady 15% of net sales, driven by a 10% increase in R&D; spending to \$34.6 billion and a 6% rise in selling, general and administrative costs [2][3]. The sustained investment in innovation and marketing supports long-term growth but also constrains near-term operating leverage, implying that margin expansion depends on balancing cost control with continued investment in growth initiatives.

Cash flow from operations remained robust at \$111.5 billion, slightly down from the prior year, while investing activities generated positive cash flow due to marketable securities transactions despite increased capital expenditures [6][8]. Financing activities showed consistent share repurchases and dividend payments, reflecting strong capital return policies. The solid cash generation underpins financial flexibility, but sustaining this level depends on continued profitability and efficient working capital management.

- 6% total net sales growth to \$416.2 billion driven by 14% services growth offsets 4% product sales decline in Greater China, signaling geographic and segment shifts [2][5].
- Product gross margin dollars rose to \$112.9 billion but margin percentage declined due to tariffs and product mix, indicating margin pressure despite higher sales [1][4].
- Services gross margin improved both in dollars (\$82.3 billion) and percentage, highlighting the profitability of the expanding services segment [1][4].
- Operating expenses increased 8% to \$62.2 billion but remained 15% of sales, reflecting disciplined cost management amid rising R&D; and SG&A; investments [2][3].
- Operating cash flow of \$111.5 billion supports ongoing capital returns and investments, though a slight decline from prior year suggests potential headwinds [6][8].

What it means. Apple's financial performance shows growth fueled by services and geographic expansion but margin pressures and rising costs require monitoring to sustain profitability and cash flow.

Sources cited above.

[1] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

[2] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.31

[3] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

[4] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

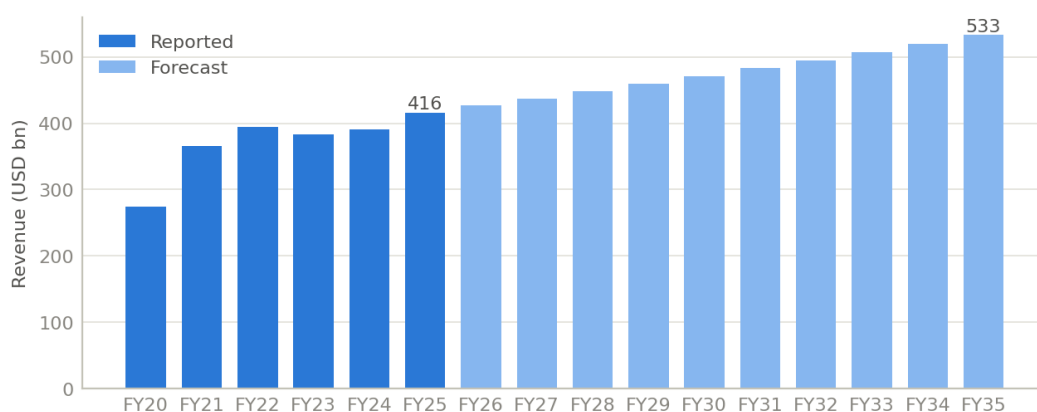
[5] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.24

[6] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.35

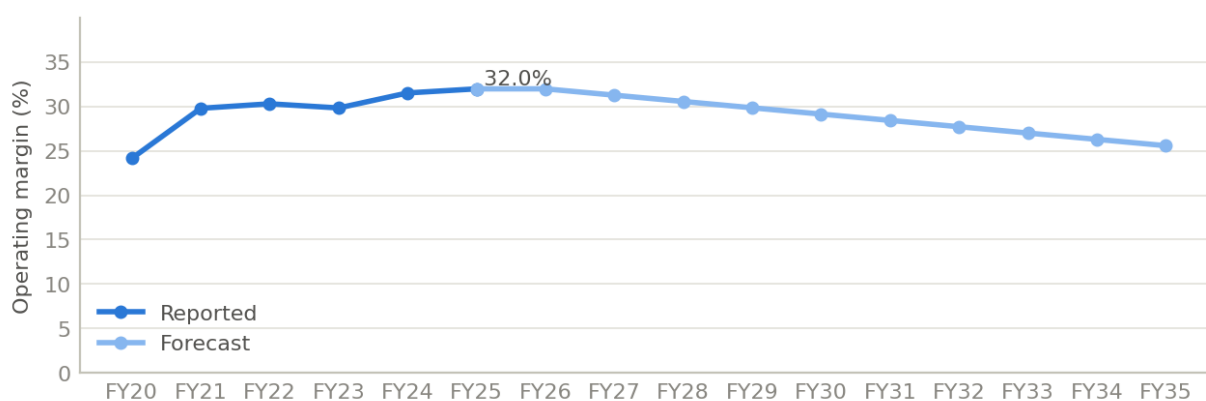
[7] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.50

[8] Q42025 Earnings Release (8-K) - p.5

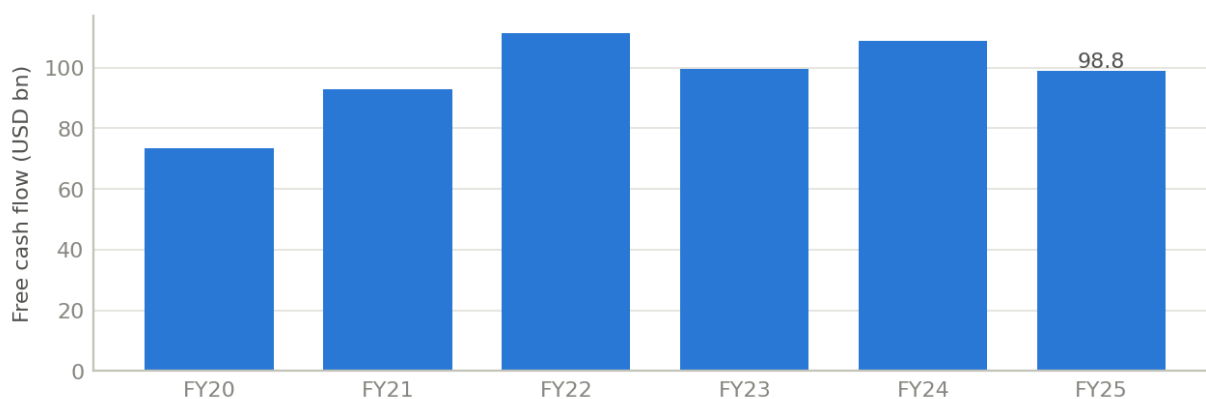
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2020	274.5bn	-	66.3bn	24.1%	57.4bn	73.4bn
FY2021	365.8bn	33.3%	108.9bn	29.8%	94.7bn	93.0bn
FY2022	394.3bn	7.8%	119.4bn	30.3%	99.8bn	111.4bn
FY2023	383.3bn	-2.8%	114.3bn	29.8%	97.0bn	99.6bn
FY2024	391.0bn	2.0%	123.2bn	31.5%	93.7bn	108.8bn
FY2025	416.2bn	6.4%	133.1bn	32.0%	112.0bn	98.8bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

Apple's revenue growth is driven by services expansion and regional gains, but tariffs and product mix shifts may pressure margins and growth sustainability.

Apple's revenue grew 6% in fiscal 2025 to \$416.2 billion, with services sales rising 14% to \$109.2 billion and iPhone sales up 4% to \$209.6 billion, indicating that services and flagship products remain key growth engines [6]. This mix shift toward higher-margin services suggests a strategic pivot that could enhance profitability, but sustaining this growth depends on continued innovation and user engagement in services, which may face competitive and regulatory challenges.

Geographically, growth was uneven: Americas and Europe expanded 7% and 10% respectively, while Greater China declined 4% [2][7]. The strong performance in developed markets supports stable revenue bases, but the contraction in China highlights geopolitical and economic risks that could limit Apple's growth in a critical market. Recovery in China or expansion in other emerging markets will be necessary to maintain global growth momentum.

Tariffs introduced in 2025 on imports from key countries, including China and the EU, have increased costs and pressured product gross margins despite favorable cost factors [1][8]. While Apple has managed to offset some tariff impacts through cost efficiencies, the persistence or escalation of trade tensions could erode margins and force price increases, potentially dampening demand. The company's supply chain flexibility and ability to innovate around these constraints will determine margin resilience.

Apple's R&D; spending increased 10% to \$34.6 billion, maintaining 8% of net sales, signaling ongoing investment in new products and technologies [3]. This commitment supports future product introductions like iOS 26 and visionOS 26, which could drive incremental revenue. However, the effectiveness of these investments in generating breakthrough products will be critical to sustaining long-term growth beyond current product cycles.

- Services revenue grew 14% to \$109.2 billion, reinforcing services as a key growth and margin driver.
- iPhone sales increased 4% to \$209.6 billion, maintaining flagship product relevance.
- Greater China sales declined 4%, exposing regional geopolitical and economic risks.
- New tariffs in 2025 contributed to margin pressure despite favorable cost trends.
- R&D; spending rose 10% to \$34.6 billion, supporting future product innovation.

What it means. Apple's growth relies on expanding services and developed markets, but tariff risks and regional challenges could constrain margin and revenue expansion without successful new product innovation.

Sources cited above.

[1] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.15

[2] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.24

[3] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

[4] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.50

[5] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

[6] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.25

[7] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.16

[8] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

COMPETITIVE POSITION

Apple's competitive edge relies on innovation and integration but faces persistent margin pressure from aggressive rivals and supply constraints.

Apple's competitive position is anchored in its ability to continuously introduce innovative products and tightly integrate hardware, software, and services, controlling nearly the entire solution stack. This vertical integration supports differentiation through design, security, and ecosystem strength, which are critical competitive factors. However, sustaining this advantage demands ongoing substantial R&D; investment and rapid market acceptance of new offerings, as failure to innovate timely risks erosion of market share and margins given the fast product cycles and evolving standards [1][2].

The company confronts intense competition from rivals with broader product lines, lower-cost structures, and large installed bases, some willing to operate at minimal or negative margins to gain share. This dynamic compresses Apple's pricing power and gross margins, especially in markets where it holds minority shares and where growth is stagnant or contracting. The durability of Apple's premium positioning depends on its ability to maintain product quality, brand reputation, and intellectual property protection amid widespread imitation and aggressive pricing tactics [1][3][4].

Supply chain constraints and component sourcing risks add another layer of competitive vulnerability. Apple relies on some single-source or custom components, which can face shortages or cost volatility, exacerbated by geopolitical trade restrictions. These factors can limit product availability or increase costs, pressuring margins and customer satisfaction. While Apple's scale and supplier agreements mitigate some risks, persistent supply disruptions or inability to secure key components on favorable terms could impair its competitive responsiveness [1][5].

- Apple's R&D; spending rose 10% to \$34.6 billion in 2025, reflecting the critical role of innovation in maintaining competitive differentiation [8].
- The company faces competitors with low-cost structures willing to sell at a loss, intensifying price competition and margin pressure [1][3].
- Apple holds minority market shares in smartphones, PCs, tablets, and wearables, limiting pricing power and exposing it to market contractions [1][3].
- Component shortages and reliance on single-source suppliers create supply risks that can disrupt product launches and increase costs [1][5].
- Aggressive imitation of Apple's product features and integrated solutions by competitors threatens its intellectual property moat [1][3].
- Apple's gross margins are vulnerable to pricing pressures, supply costs, and foreign exchange fluctuations, adding volatility to financial performance [4].

What it means. Apple's competitive position is durable but requires relentless innovation, supply chain management, and IP enforcement to sustain margins and market relevance amid fierce, low-cost competition.

Sources cited above.

- [1] FY2025 Annual Report (10-K) - Item 1 -Business - p.4
- [2] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.9
- [3] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.9
- [4] FY2025 Annual Report (10-K) - Item 1A -Risk Factors - p.17
- [5] FY2025 Annual Report (10-K) - Item 8 -Financial Statements - p.48
- [6] FY2025 Annual Report (10-K) - Item 1 -Business - p.4
- [7] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.23
- [8] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.26

OUTLOOK

Apple's aggressive capital return programs and disciplined cash management signal confidence in sustained cash flow and shareholder value creation.

Apple's announcement of a \$110 billion share repurchase program in May 2024, followed by an additional \$100 billion program in May 2025, with \$19.8 billion remaining under the first program as of June 28, 2025, reflects a strategic commitment to returning capital to shareholders through buybacks [2]. This scale of repurchases, totaling \$89.3 billion in 2025 alone, indicates management's confidence in the company's ability to generate strong free cash flow to support these programs without compromising operational needs [4]. The sustainability of this capital return depends on continued robust cash generation and stable market conditions; a significant downturn in cash flow or increased capital expenditure requirements could constrain future buybacks.

The company's dividend policy, with a quarterly cash dividend increased from \$0.25 to \$0.26 per share in May 2025 and an intention to raise dividends annually subject to board approval, complements the repurchase programs by providing a steady income stream to shareholders [4]. This incremental dividend growth suggests management anticipates stable or growing earnings and cash flow, reinforcing a shareholder-friendly capital allocation approach. However, dividend increases are contingent on consistent profitability and cash availability, which could be challenged by adverse macroeconomic factors or unexpected expenses.

Apple's liquidity position, with cash, cash equivalents, and marketable securities totaling \$132.4 billion as of September 27, 2025, alongside access to debt markets and ongoing operational cash flow, underpins its ability to meet contractual obligations and sustain capital returns [8]. Manufacturing purchase obligations of \$56.2 billion and other purchase obligations of \$14.8 billion, mostly payable within 12 months, represent significant near-term cash commitments [4][8]. The company's confidence in liquidity sufficiency suggests a balanced approach to managing operational needs and shareholder returns, but this balance could be disrupted by supply chain shocks or increased capital expenditure demands.

The company's outstanding fixed-rate notes amounting to \$91.3 billion with staggered maturities and commercial paper of \$8.0 billion indicate a well-structured debt profile that supports capital allocation flexibility [3][8]. Interest payments totaling \$37.0 billion over time are manageable given Apple's cash reserves and cash flow generation. Maintaining this debt structure without increasing leverage will be critical to sustaining capital return programs and preserving financial flexibility. Any deterioration in credit conditions or cash flow could pressure debt servicing capacity and limit capital returns.

- \$110 billion repurchase program initiated in May 2024, with an additional \$100 billion program in May 2025, signals aggressive capital return strategy [2]

- \$89.3 billion repurchased and \$15.4 billion paid in dividends in 2025 demonstrate strong cash flow utilization for shareholder returns [4]
- Quarterly dividend increased to \$0.26 per share with plans for annual growth, indicating confidence in earnings stability [4]
- \$132.4 billion in cash and marketable securities as of September 2025 provides ample liquidity to support operations and capital returns [8]
- \$56.2 billion in manufacturing purchase obligations due mostly within 12 months highlights significant operational cash commitments [4]
- \$91.3 billion in fixed-rate notes with manageable maturities and \$8.0 billion commercial paper maintain financial flexibility [3][8]

What it means. Apple's robust capital return programs, backed by strong liquidity and disciplined debt management, reinforce its capacity to deliver shareholder value, contingent on sustained cash flow and operational stability.

Sources cited above.

- [1] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.20
 [2] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.23
 [3] Q32025 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.12
 [4] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.27
 [5] FY2025 Annual Report (10-K) - p.3
 [6] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.15
 [7] Q32025 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.19
 [8] FY2025 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.27

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Supply Chain Disruption in Asia Heavy reliance on single-source manufacturing partners in China and Asia exposes Apple to production halts, increased costs, and delayed product launches if geopolitical tensions, pandemics, or natural disasters disrupt supply.	High, persistent geopolitical risk	Could reduce hardware segment revenue (~70% of total revenue) by 10-15% in affected quarters, impacting gross margins and operating income materially.	Could push fair value down from base USD 95.82 to bear case USD 70.55 (~27% from base), reflecting supply constraints and margin compression.	Quarterly inventory days and supplier lead times reported in earnings calls.
Component Shortages and Price Volatility Industry-wide semiconductor shortages and commodity price spikes increase component costs and limit production volumes, squeezing margins and reducing sales volumes.	Medium, cyclical industry risk	Operating margin could compress by 3-5 percentage points on hardware revenue (~70% of total), reducing operating income by several billion USD annually.	Could reduce fair value by ~10-15% from base case, lowering it toward USD 81-86 range.	Rising component costs disclosed in quarterly gross margin and cost of goods sold (COGS) trends.
Outsourced Logistics Failures Dependence on third-party logistics providers for global distribution can cause shipment delays, increased costs, and lost sales during peak product launches or holiday seasons.	Medium, operational complexity risk	Could reduce hardware sales growth by 2-4% in affected quarters and increase operating expenses by hundreds of millions USD.	Could lower fair value by up to 5% from base case, approximately USD 91.	Quarterly commentary on shipping times and fulfillment rates.
Supplier Code of Conduct Violations Supplier misconduct or regulatory violations can damage Apple's brand reputation, leading to consumer backlash, regulatory fines, and lost sales.	Low to Medium, reputational risk	Potential sales decline of 1-3% in affected product lines and increased compliance/legal costs, totaling hundreds of millions USD.	Could reduce fair value by 3-5%, approximately USD 91-93.	Media reports and regulatory disclosures on supplier violations.

COMPETITIVE MOAT

Moat rating: Narrow

Apple's moat is primarily driven by its integrated ecosystem, brand strength, and intellectual property, which provide some pricing power and customer loyalty. However, intense competition and imitation limit the durability of these advantages, making the assumed terminal margin of 25.6% optimistic and only partially defensible.

Sources of advantage:

- Integrated hardware-software ecosystem creating switching costs and seamless user experience
- Strong brand reputation and premium positioning enabling pricing power
- Extensive intellectual property portfolio protecting product innovations
- Robust third-party software and accessories ecosystem enhancing product value

Threats to the moat:

- Competitors aggressively cutting prices and lowering product margins
- Rivals imitating Apple's product features and integrated component approach
- Large competitors with broader product lines and lower cost structures
- Supply chain constraints and component shortages increasing costs and limiting flexibility

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Revenue growth	Focused on expanding market opportunities across smartphones, PCs, tablets, wearables, and services	Modeling modest 2.5% year-1 revenue growth reflecting market saturation and competitive pressures	Aligned
Competitive differentiation	Differentiation through innovation, integrated solutions, and ecosystem strength	Agree on differentiation but view competitive imitation and pricing pressure as significant risks	More cautious
Pricing power and margins	Ability to maintain product and service quality and pricing due to brand and innovation	Terminal operating margin of 25.6% is high given intense competition and margin compression trends	More cautious
Competitive threats	Acknowledges substantial competition from companies with significant resources and low-cost offerings	Agree and incorporate these threats into conservative growth and margin assumptions	Aligned

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Q2 FY2026 Earnings Release	April 2026	Two-sided	Quarterly revenue growth
Launch of new 14-inch MacBook Pro and iPad Pro models	Q2 FY2026 (April-June 2026)	Positive	Product sales growth
U.S. Department of Commerce decision on semiconductor tariffs	Mid-2026 (expected by June 2026)	Two-sided	Gross margin impact
Q3 FY2026 Earnings Release with iOS 27 and Siri AI impact	July 2026	Positive	Services revenue growth

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Revenue growth (FY2026 Q1-Q3)	Q1 FY2026: +2.5% (expected)	Slightly positive	2.5% annual growth	Revenue growth is the primary driver of our valuation and is currently well below the market implied 17.7% CAGR.
Gross margin	Not explicitly stated, impacted by tariffs	Potential downward pressure due to tariffs	Maintain near terminal margin of 25.6%	Margins affect operating income and cash flow, critical for fair value estimation.
Impact of tariffs on cost of goods sold	No new tariffs imposed yet as of Q1 2026	Uncertain, potential increase	Minimal to moderate cost increase	Tariffs could materially impact supply chain costs and margins.
Product launch sales performance	New 14-inch MacBook Pro and iPad Pro announced Q1 2026	To be determined post-launch	Modest positive contribution to revenue growth	Successful product launches can drive incremental revenue and improve growth trajectory.
Services revenue growth	Not specified, but new OS and Siri AI launched Q3 2026	Expected positive lift	Slight acceleration in services revenue growth	Services segment has higher margins and supports operating margin expansion.

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 95.82	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 335.00	3.0	41 analysts; median USD 335.00; mean USD 325.70; range USD 215–400

Blended fair value USD 275.21 (-13.4% vs price). Reconciled from USD 95.82 to USD 335.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 317.77. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 317.77	Gap
Revenue CAGR (10-year)	2.5%	17.7%	+15.2pp
Operating margin (mature)	25.6%	—	—
FCF margin (mature)	20.5%	—	—
Terminal growth	2.5%	7.2%	+4.7pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2026	426.6bn	2.5%	32.0%	109.9bn	101.0bn
FY2027	437.2bn	2.5%	31.3%	110.1bn	92.9bn
FY2028	448.2bn	2.5%	30.5%	110.2bn	85.5bn
FY2029	459.4bn	2.5%	29.8%	110.3bn	78.7bn
FY2030	470.8bn	2.5%	29.1%	110.3bn	72.3bn
FY2031	482.6bn	2.5%	28.4%	110.3bn	66.4bn
FY2032	494.7bn	2.5%	27.7%	110.1bn	61.0bn
FY2033	507.1bn	2.5%	27.0%	109.9bn	55.9bn
FY2034	519.7bn	2.5%	26.3%	109.7bn	51.3bn
FY2035	532.7bn	2.5%	25.6%	109.3bn	47.0bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2025	Yr-1 growth	10y CAGR	Revenue FY2035
Americas	178.4bn	6.8%	3.9%	260.9bn
Europe	111.0bn	9.6%	4.8%	177.0bn
Greater China	64.4bn	-3.8%	0.4%	67.2bn
Japan	28.7bn	14.6%	6.4%	53.1bn
Rest of Asia Pacific	33.7bn	9.9%	4.9%	54.2bn
Bottom-up total	416.2bn	-	3.9%	612.3bn

The reported segments sum to USD 416.2bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 4% total CAGR — in line with the 2% our top-down DCF assumes, which supports the headline forecast.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	2.0%	24.1%	2.0%	10.3%	USD 70.55	-78%	25%
Base case	2.5%	25.6%	2.5%	8.8%	USD 95.82	-70%	50%
Bull case	15.0%	28.1%	3.0%	7.3%	USD 208.38	-34%	25%

Probability-weighted value USD 117.64 (-63.0% vs price). Range USD 70.55 to USD 208.38, a spread of 144% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 2%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 10.3% discount rate. Growth spread +/-13pp (one standard deviation of 5 years of revenue growth); margin spread +/-3pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 2% decaying toward 2.5%, a terminal margin of 26%, discounted at 8.8%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 15%, margins recover toward 28%, and an easing risk premium lowers the discount rate to 7.3%. Growth spread +/-13pp (one standard deviation of 5 years of revenue growth); margin spread +/-3pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

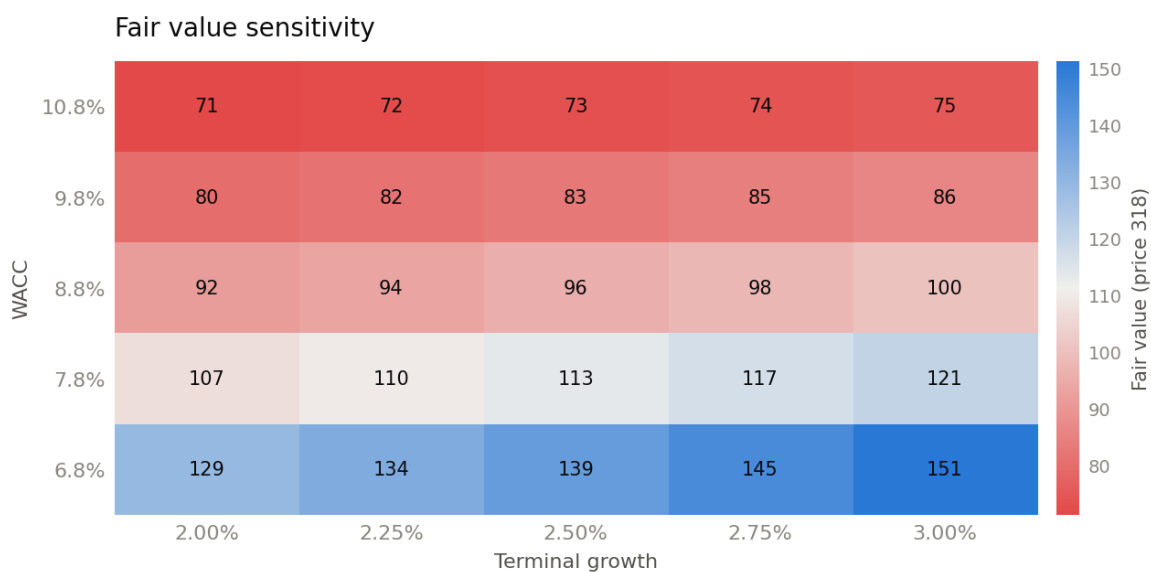
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US

Assumption	Value	Basis	Derivation
Beta (Blume-adjusted)	1.06x	Live market data	Five-year raw beta 1.09, Blume-adjusted $(0.67 \times 1.09 + 0.33 \times 1.00) = 1.06$
Effective tax rate	18.1%	Derived from filings	Mean of tax expense / pre-tax income for FY2023-FY2025
Beta (long-horizon)	1.04x	Derived from filings	0.75×1.06 (Blume) + 0.25×1.00 , the average beta over a 10-year horizon
Size premium	-1.5%	Standard default	Build-up size premium for a mega-cap (market cap USD 4,638bn)
Cost of equity	8.9%	Derived from filings	CAPM build-up: $4.65\% + 1.04 \times 5.50\% - 1.5\%$ size
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.65\% + 1.5\%$ investment-grade spread
WACC (discount rate)	8.8%	Derived from filings	$98\% \text{ equity} \times 8.89\% + 2\% \text{ debt} \times 6.15\% \times (1 - 18\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	2.5%	Model estimate (bounded) (bounded)	Model estimate 2%, bounded to [2%, 6%] from reported growth of 6%
Terminal operating margin	25.6%	Model estimate (bounded) (bounded)	Model estimate 25.0%, normalised down from today's 32.0%; kept within a maturity band of [25.6%, 32.0%] (floor 80% of current, set by steady margins; ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	2.9%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.8%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	22.8%	Derived from filings	Median change in working capital over change in revenue across 1 year(s) with material revenue growth

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Microsoft Corporation (MSFT)	3.6tn	26.9x	18.7x	10.9x
Alphabet Inc. (GOOGL)	4.2tn	17.3x	23.7x	9.2x
Sony Group Corporation (SONY)	138.6bn	20.2x	0.1x	0.0x
Dell Technologies Inc. (DELL)	283.3bn	34.9x	23.0x	2.4x

Implied value applies the peer median P/E of 23.6x to trailing EPS of 7.46.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 335.00) sits 250% above our intrinsic DCF (USD 95.82). The blended value reconciles the two; read it as a triangulation, not a precise number.
- At USD 317.77 the price sits above even the bull case (USD 208.38); the market is pricing assumptions more optimistic than any of the three scenarios.
- Year 1 revenue growth was constrained to 2.5% (estimate was 2.0%).
- Terminal operating margin was constrained to 25.6% (estimate was 25.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q32026 Quarterly Report (10-Q) · filed 2026-07-31

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000020/aapl-20260627.htm>

Q32026 Earnings Release (8-K) · filed 2026-07-30

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000018/a8-kex991q3202606272026.htm>

Q22026 Quarterly Report (10-Q) · filed 2026-05-01

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000013/aapl-20260328.htm>

Q22026 Earnings Release (8-K) · filed 2026-04-30

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000011/a8-kex991q2202603282026.htm>

Q12026 Quarterly Report (10-Q) · filed 2026-01-30

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000006/aapl-20251227.htm>

Q12026 Earnings Release (8-K) · filed 2026-01-29

<https://www.sec.gov/Archives/edgar/data/320193/000032019326000005/a8-kex991q1202612272025.htm>

Q42025 Earnings Release (8-K) · filed 2025-10-30

<https://www.sec.gov/Archives/edgar/data/320193/000032019325000077/a8-kex991q4202509272025.htm>

Q32025 Quarterly Report (10-Q) · filed 2025-08-01

<https://www.sec.gov/Archives/edgar/data/320193/000032019325000073/aapl-20250628.htm>

FY2025 Annual Report (10-K) · filed 2025-10-31

<https://www.sec.gov/Archives/edgar/data/320193/000032019325000079/aapl-20250927.htm>

FY2024 Annual Report (10-K) · filed 2024-11-01

<https://www.sec.gov/Archives/edgar/data/320193/000032019324000123/aapl-20240928.htm>

FY2023 Annual Report (10-K) · filed 2023-11-03

<https://www.sec.gov/Archives/edgar/data/320193/000032019323000106/aapl-20230930.htm>

FY? Investor Presentation

https://www.uah.edu/images/colleges/business-administration/forms/10_30_apple_presentation.pdf

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